



# Cambridge International AS & A Level

## ECONOMICS

9708/32

Paper 3 A Level Multiple Choice

February/March 2023

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet  
Soft clean eraser  
Soft pencil (type B or HB is recommended)

### INSTRUCTIONS

- ♥ There are **thirty** questions on this paper. Answer **all** questions.
- ♥ For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- ♥ Follow the instructions on the multiple choice answer sheet.
- ♥ Write in soft pencil.
- ♥ Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- ♥ Do **not** use correction fluid.
- ♥ Do **not** write on any bar codes.
- ♥ You may use a calculator.

### INFORMATION

- ♥ The total mark for this paper is 30.
- ♥ Each correct answer will score one mark.
- ♥ Any rough working should be done on this question paper.

Done!

This document has **12** pages. Any blank pages are indicated.

2 *logical*

- 1 Utility theory is based on the assumption of the 'rational consumer'.

What is necessary to act as a 'rational consumer'?

|          | access to complete information | addictive behaviour | choice is independent of other consumers |
|----------|--------------------------------|---------------------|------------------------------------------|
| <b>A</b> | no                             | yes                 | yes ✓                                    |
| <b>B</b> | yes ✓                          | no ✓                | no                                       |
| <b>C</b> | yes ✓                          | yes                 | no                                       |
| <b>D</b> | yes ✓                          | no ✓                | yes ✓                                    |

\* A rational consumer is considered to be that person who makes rational consumption decisions. In other words, the consumer who makes his choices after considering all the other alternative goods (and services) available in the market is called a rational consumer.

- 2 The price of good S is \$6 and the price of good T is \$8. A consumer's marginal utility for each good is shown.

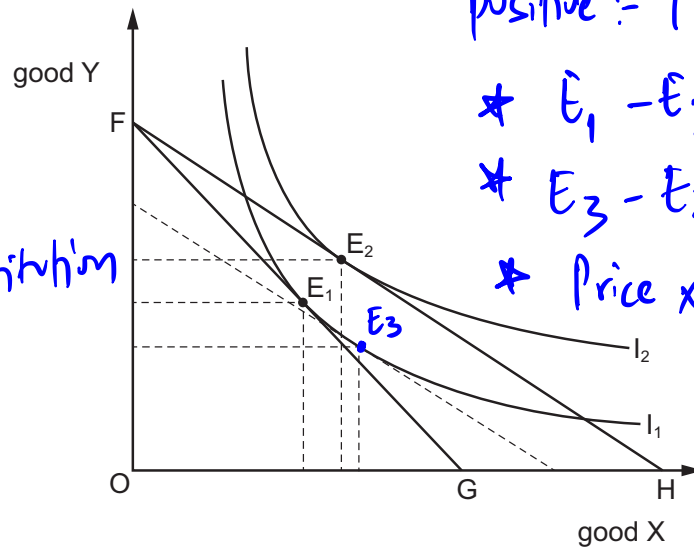
|                              | units      | marginal utility of good S | marginal utility of good T |
|------------------------------|------------|----------------------------|----------------------------|
| <i><math>MU_S/P_S</math></i> | 1 <i>T</i> | 36                         | 32                         |
| <i>6</i>                     | 2 <i>S</i> | 24                         | 22                         |
| <i>4</i>                     | 3          | 18                         | 20                         |
| <i>3</i>                     | 4          | 9                          | 18                         |
| <i>1.5</i>                   | 5          | 0                          | 9                          |
| <i>0</i>                     |            |                            |                            |
| <i><math>MU_T/P_T</math></i> |            |                            |                            |
| <i>4</i>                     |            |                            |                            |
| <i>2.75</i>                  |            |                            |                            |
| <i>2.5</i>                   |            |                            |                            |
| <i>2.25</i>                  |            |                            |                            |
| <i>1.125</i>                 |            |                            |                            |

If this consumer wants to maximise total utility, which combination of goods would they consume?

|          | good S | good T |
|----------|--------|--------|
| <b>A</b> | 1      | 1 ✓    |
| <b>B</b> | 2 ✓    | 1 ✓    |
| <b>C</b> | 3      | 4      |
| <b>D</b> | 5      | 5      |

- 3 The diagram shows the effect of a price change on an individual consumer's equilibrium, moving from  $E_1$  to  $E_2$ .

graph shows  
fall in price,  
income and substitution  
effect,  
inferior goods.



positive :-  $\uparrow$       negative :-  $\downarrow$

\*  $E_1 - E_3$  :- S.E (+ve)

\*  $E_3 - E_2$  :- I.E (-ve)

\* Price  $x \downarrow$  ( $Q_x \uparrow$ )

What can be deduced from the diagram about the price change, the substitution effect and the income effect?

|     | price change       | substitution effect | income effect |
|-----|--------------------|---------------------|---------------|
| A   | price of X falls ✓ | positive ✓          | positive      |
| B ✓ | price of X falls ✓ | positive ✓          | negative ✓    |
| C   | price of Y rises   | negative            | positive      |
| D   | price of Y rises   | negative            | negative ✓    |

- 4 What is likely to help create dynamic efficiency?

A Entry barriers are reduced to increase competition in the market.

B Firms are legally bound to produce where price equals marginal cost.

C Taxes on profits are raised to encourage firms to produce where price equals average cost.

D ✓ Taxes on retained profits are reduced to encourage investment in new technology.

moving towards  
productively efficient

Allocatively efficient

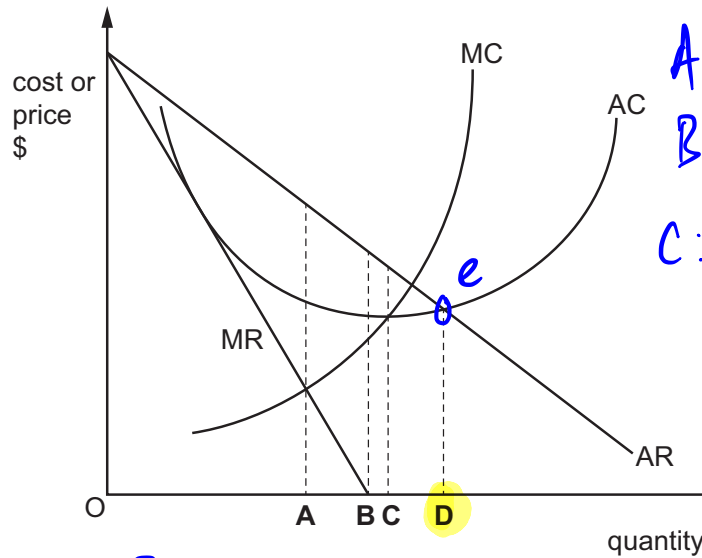
shifts LRAC downwards

productively efficient

Factors that affect dynamic efficiency:

- Investment – investment in new technology and improved capital can enable lower costs in future
- State of technology. The rapid development of technology can enable firms to produce more for lower costs.
- The motivation of workers and managers – do managers have incentives to take risks and innovate or is the structure of the firm set up to encourage stagnant development?
- Access to finance. A firm without access to finance will struggle to invest in new capital which will enable lower costs.

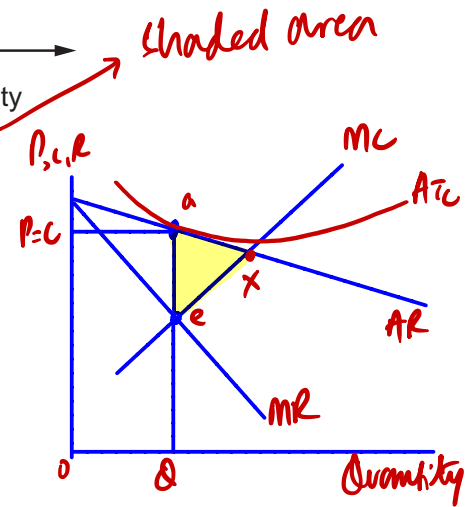
- 5 At which level of output is sales maximisation achieved consistent with earning normal profit?



- 6 What is achieved in monopolistic competition in the long run?

|   | allocative efficiency | supernormal profit |
|---|-----------------------|--------------------|
| A | no ✓                  | no ✓               |
| B | no ✓                  | yes                |
| C | yes                   | no ✓               |
| D | yes                   | yes                |

In long run, it earns normal profit



- 7 The world's largest pharmaceutical companies developed and distributed an effective vaccine to combat a dangerous virus.

What can be associated with this vaccine programme?

- A demerit good and negative production externality
- B imperfect competition and positive consumption externality
- C perfect competition and negative consumption externality
- D public good and negative production externality

NO NO  
Non-rival  
Non-excludable  
free rider problem

Correct  
positive consumption externality, means external benefit

# Action of tenant affects landlord negatively

5

- 8 A landlord owns a house which is rented to tenants. The tenants are required to pay the electricity and water bills. The landlord is required to decorate and repair damage to the house and its gardens.

What is **not** an example of the principal-agent problem?

- A The tenants forget to switch off a tap when filling a bath and water overflows, damaging the floor.
- B The tenants have a party and their guests cause damage to the interior of the house.
- C The tenants leave the lights and the TV on when they go out for an evening meal.
- D The tenants park their car in the garden, damaging the grass and the surrounding hedge.

- 9 The result of a cost-benefit analysis of a proposed government road-building project is that there will be a positive net social benefit of \$50 million.

Why might the government **not** proceed with the project?

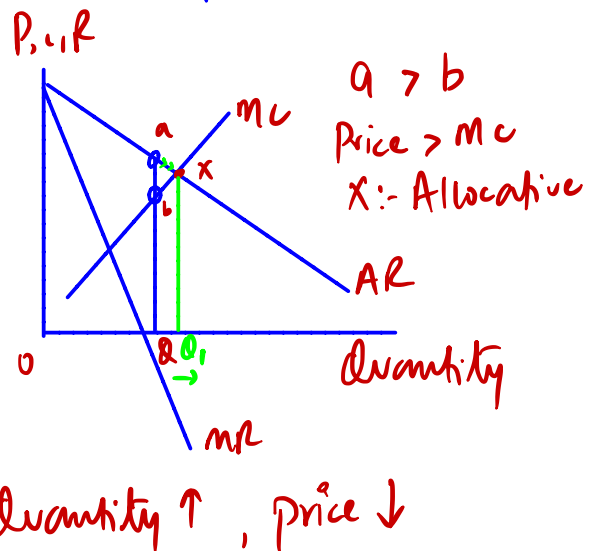
- A The project would not be profitable for a private firm.
- B The project would cause negative externalities.
- C There is limited capital available for government projects.
- D There would be more who lost than gained.

$MC < Price$

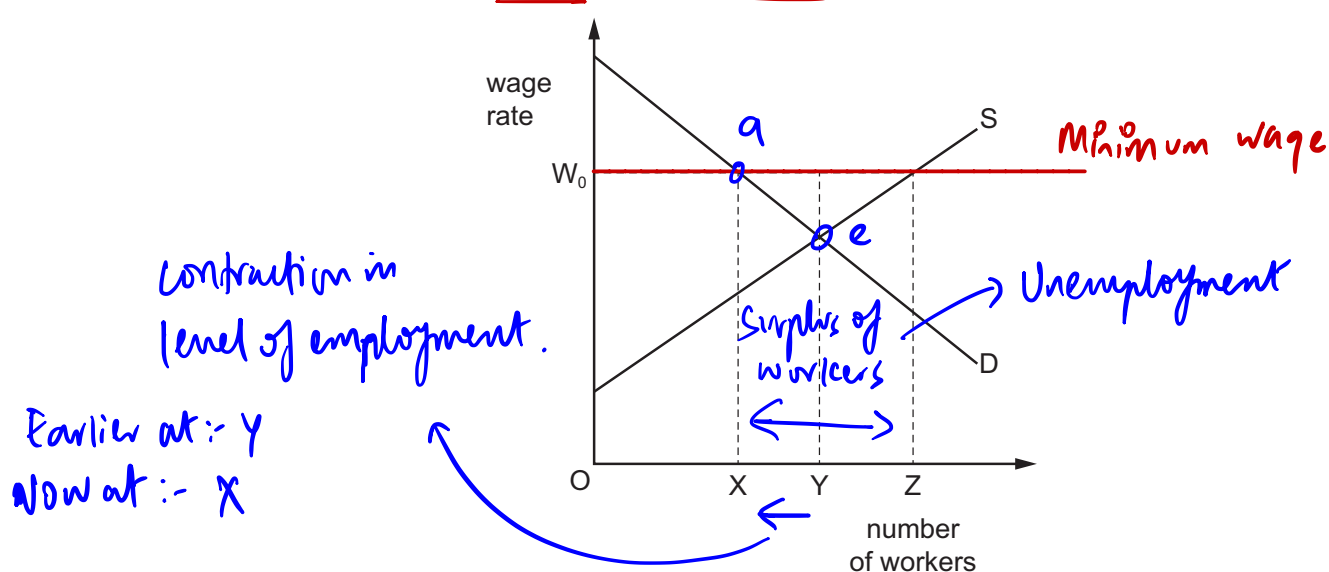
- 10 If the marginal cost of a good is lower than its price, allocative efficiency has not been achieved.

What is likely to remedy this situation?

|   | production of the good | price of the good |
|---|------------------------|-------------------|
| A | decrease               | decrease          |
| B | decrease               | increase          |
| C | increase               | decrease          |
| D | increase               | increase          |



11 The diagram shows an industry's demand for and supply of labour.

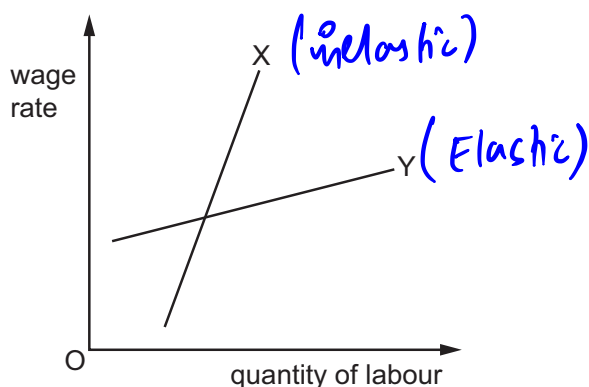


Initially, the labour market is in equilibrium. The government introduces a minimum wage of  $OW_0$ .

What will be the effect on the level of employment in the industry?

- ☒ A a decrease equal to  $XY$
- B a decrease equal to  $XZ$
- C an increase equal to  $XY$
- D an increase equal to  $YZ$

12 The diagram shows the supply curve of labour for two separate markets, X and Y.



What explains the difference in the gradients of the labour supply curves?

- A Market X has a higher marginal revenue product per worker than Y.
- B Market X has a higher percentage of its labour belonging to a trade union than Y.
- C Market X has higher labour costs as a percentage of total costs than X.
- ☒ D Market X has more specific skills and training requirements than Y.

$MRP = \text{Demand}$

Related to demand and not supply.

Inelastic supply

- 13 The table shows the main characteristics of employment in two occupations.

|                                                       | occupation X | occupation Y |
|-------------------------------------------------------|--------------|--------------|
| average annual wage                                   | \$100 000    | \$60 000     |
| number of weeks of annual leave                       | 5 weeks      | 10 weeks     |
| average length of working week                        | 48 hours     | 44 hours     |
| job security                                          | low          | high         |
| length of training course to obtain job qualification | 1 year       | 2 years      |

What can definitely be deduced from the table?

- A Those employed in occupation Y attach greater importance to job security.  
 B Those employed in occupation X attach less importance to leisure activities.  
 C There will be more competition for places on training courses to enter occupation X than occupation Y.  
 ✓ D Occupation Y has more non-pecuniary advantages than occupation X.

- 14 Which changes in direct and indirect tax are likely to increase the inequality in the distribution of income in a developed economy?

|     | direct taxes | indirect taxes  |
|-----|--------------|-----------------|
| A   | fall ✓       | fall            |
| ✓ B | fall ✓       | rise ✓          |
| C   | rise         | fall            |
| D   | rise         | remain constant |

Benefits rich

inequality ↑  
 ↓  
 Direct tax ↓      Indirect tax ↑  
 → affects poor badly

- 15 A government wishes to reduce the use of cars in cities.

Which policy should be used?

- A a decrease in parking charges      car use ↑  
 B lowering tax on petrol (gasoline)      car use ↑  
 C restricting cycling      car use ↑  
 ✓ D subsidising public transport      Demand for cars ↓

- 16 In a country, the top 20% of earners pay 45% in income tax and 25% on sales taxes, and receive 5% in cash benefits.

What is the percentage of disposable income for this group?

- A 30%      B 55%      ✓ C 60%      D 80%

$$100\% - 45\% + 5\% = 60\%$$

- 17 Which combination of circumstances is most likely to lead to an increase in a country's budget deficit?

*Handwritten notes for Q17:*  
 G↑, Tax revenue ↓  
 less output, government needs to raise its spending.

|   | total GDP   | unemployment | government spending |
|---|-------------|--------------|---------------------|
| A | decreases ✓ | rises ✓      | decreases           |
| B | decreases ✓ | rises ✓      | no change           |
| C | increases   | falls        | increases ✓         |
| D | increases   | falls        | no change           |

*Handwritten notes for Q17:*  
 Unemployment ↑ ⇒ Tax revenue ↓

- 18 Which statement applies to a central bank and to a commercial bank?

|   |                                                | central bank | commercial bank |
|---|------------------------------------------------|--------------|-----------------|
| A | issues bank notes                              | yes ✓        | yes ✗           |
| B | lender of the last resort                      | yes ✓        | yes ✗           |
| C | maximises profit                               | no ✗         | yes ✓           |
| D | receives deposits directly from the government | no ✗         | yes ✓           |

\* Sustainable economic growth refers to economic activities that improve the quality of life and the welfare of society. Sustainable economic growth also refers to a rate of economic growth maintained without creating future significant problems

- 19 What is most likely to be the biggest contribution to sustainable economic growth in a developed economy?

- A a movement of people from rural to urban areas *puts pressure*  
 B an increase in technical training *long term benefit*  
 C an increase in the size of the population *puts pressure*  
 D rising consumer credit levels *debt ↑*

- 20 Which policy is likely to increase unemployment?

- A an increase in retraining facilities *occupational mobility ↑, structural unemployment ↓*  
 B a significant increase in indirect taxes *cost ↑, S ↓, unemployment ↑*  
 C the imposition of selective import controls *Expenditure switching policy, AD ↑*  
 D an increase in the public sector deficit *G ↑, AD ↑*

## Induced investment <sup>9</sup>

\* The acceleration principle holds that the demand for capital goods is a derived demand and that changes in the demand for output lead to changes in the demand for capital stock and, hence, lead to investment.

21 What does the accelerator principle state?

A Consumption is a function of the rate of change of income.

B Income is a function of the rate of change of investment. *Multiplier*

✓ C Investment is a function of the rate of change of income.

D Investment is a function of the rate of interest. *MEC/MEI*

\*  $M^s$ , interest rate,  
↑ credit regulation

22 Which government aim is least likely to be achieved using macroeconomic monetary policy measures?

A low unemployment level

✓ B more equal income distribution

C stable exchange rate

D steady price level

A) Expansionary

C) Changes in interest rate

D) Contractionary

Most likely

unrelated  
to monetary policy

Tax ↓, G ↑

23 A government adopts an expansionary fiscal policy to increase the economic growth rate.

Which other main macroeconomic aims is this policy most likely to help?

|     | full employment <i>Yes</i> | stable price level <i>No</i> | current account surplus <i>No</i> |
|-----|----------------------------|------------------------------|-----------------------------------|
| A   | ✓                          | ✓                            | ✗                                 |
| B   | ✗                          | ✓                            | ✓                                 |
| C   | ✗                          | ✗                            | ✓                                 |
| ✓ D | ✓                          | ✗                            | ✗                                 |

Tax ↓

C ↑

M ↑

Surplus ↓

$AD \uparrow = U_n \downarrow$

$AD \uparrow > AS \therefore P \uparrow$

24 Country X decides to devalue its currency to eliminate a balance of payments deficit.

Why might devaluation have a positive effect on its macroeconomy?

✓ A Competitive pricing of exports may create employment potential in country X.

B Foreign importers may depreciate their own currencies and reduce any advantage gained by country X. *Question asked for positive impact*

C Inelastic demand for imported raw materials may lead to cost inflation in country X. *Negative impact*

D Loss of import duties by country X may reduce government backing for trade promotion.

Negative impact.

Depreciation

X price ↓

X Qty ↑

X (IR) ↑

AD ↑

employment ↑

25 Which cause of economic growth would involve the least cost for present and future generations of a country's population?

- A increased exploitation of a country's mineral resources *cost to future*
- B investment financed by borrowing from abroad *cost to future*
- C investment financed by high rates of domestic savings *cost to present*
- ☒ D technological innovations in production processes *least cost, benefits present and future.*

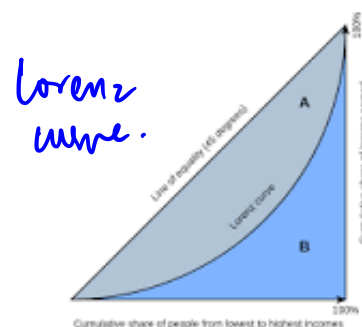
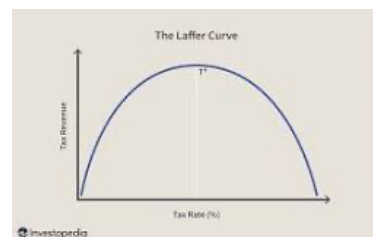
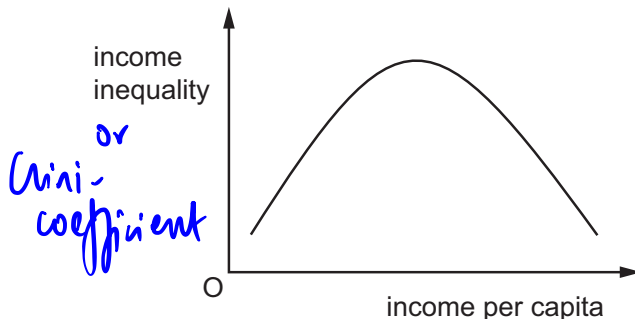
26 Which additional components may be included when measuring economic development that are not included in measures of economic growth?

|   | changes in the distribution of GDP | level of poverty | real income per capita |
|---|------------------------------------|------------------|------------------------|
| A | no                                 | no               | yes                    |
| B | no                                 | yes ✓            | no ✓                   |
| C | yes ✓                              | yes ✓            | no ✓                   |
| D | yes ✓                              | yes ✓            | yes                    |

*Important word is distribution*

*Covers or impact on economic growth*

27 Which curve is shown in the diagram?



*Lorenz curve.*

- A Kuznets curve
- B Laffer curve *(Tax rate and Tax revenue)*
- C Lorenz curve *(% population and % income)*
- D Phillips curve *(inflation and unemployment rate)*

\* Kuznets is also known for the Kuznets curve, which hypothesizes that industrializing nations experience a rise and subsequent decline in income inequality. The rise in inequality occurs after rural labor migrates to urban areas and becomes socially mobile.



28 Which indicator is **least** likely to be used when measuring the comparative economic development of an economy?

- A mean years of schooling
- B average life expectancy at birth
- C level of real GNP per head
- ☒ D size of population

most likely → Directly affects quality of life.

29 What is an example of an expenditure-switching policy?

- A an increase in income tax rates
- B an increase in interest rates
- ☒ C an increase in tariff rates
- D an increase in the supply of money

Expenditure dampening / reducing policy  
 ,  $M^d$  price  $\uparrow$ ,  $M^d$  Qty  $\downarrow$ ,  $M(\text{IE}) \downarrow$ , Switch, domestic,  $C \uparrow$   
 Expansionary monetary policy.

30 Labour from low-income countries often migrates to high-income countries and finds jobs.

How would such a movement of labour be likely to affect the economic growth and the pressure on wage rises in the high-income country?

|                                       | economic growth | pressure on wage rises |
|---------------------------------------|-----------------|------------------------|
| A                                     | decrease        | decrease ✓             |
| B                                     | decrease        | increase               |
| <input checked="" type="checkbox"/> C | increase ✓      | decrease ✓             |
| D                                     | increase ✓      | increase               |

wages  $\downarrow$ ,  
 as supply  
 of labour  $\uparrow$ ,  
 surplus  
 of workers,  
 wages  $\downarrow$

increase  
 as potential  $\uparrow$ ,  
 [labour  $\uparrow$ ]

| Question | Answer | Marks |
|----------|--------|-------|
| 1        | D      | 1     |
| 2        | B      | 1     |
| 3        | B      | 1     |
| 4        | D      | 1     |
| 5        | D      | 1     |
| 6        | A      | 1     |
| 7        | B      | 1     |
| 8        | C      | 1     |
| 9        | C      | 1     |
| 10       | C      | 1     |
| 11       | A      | 1     |
| 12       | D      | 1     |
| 13       | D      | 1     |
| 14       | B      | 1     |
| 15       | D      | 1     |
| 16       | C      | 1     |
| 17       | B      | 1     |
| 18       | C      | 1     |
| 19       | B      | 1     |
| 20       | B      | 1     |
| 21       | C      | 1     |
| 22       | B      | 1     |
| 23       | D      | 1     |
| 24       | A      | 1     |
| 25       | D      | 1     |
| 26       | C      | 1     |
| 27       | A      | 1     |
| 28       | D      | 1     |

| <b>Question</b> | <b>Answer</b> | <b>Marks</b> |
|-----------------|---------------|--------------|
| 29              | C             | <b>1</b>     |
| 30              | C             | <b>1</b>     |